



Before you get started, we'd like to provide you with some important information about who we are, what we do, the private market, and how private companies are traded.

Forge— Who we are...

Forge Global, Inc. ("Forge") serves the complex and emerging needs of the private market ecosystem by forging new connections through our technology, data and expertise. Founded in 2014, Forge empowers investors and shareholders by facilitating liquidity in the private markets.

Securities related services are offered through Forge Securities LLC ("FS-LLC"), an SEC-registered broker dealer and alternative trading system, a member of FINRA/SIPC, and wholly owned subsidiaries of Forge.

FS-LLC offers brokerage services by acting as your agent in buying or selling unregistered non-public company securities ("private company securities") which include preferred and common stock, structured investments, and membership interests in affiliated and unaffiliated private fund interests ("Funds"). We also act as placement agent for issuers in direct private company securities offerings to investors.

Public vs. Private Markets

The 'public market' refers to investing in issuers (companies) that are publicly traded on a national exchange such as Nasdaq or the New York Stock Exchange.

- Companies' shares are typically traded between the general population.
- Companies traded in the public market must adhere to financial and performance disclosure requirements and information about the companies is easier to find.
- Investors trading in the public market do not need to meet any minimum financial threshold or level of investment sophistication.
- When buying or selling, the time between executing a trade to settlement (receiving funds or securities) is typically trade date plus two days.

The 'private market' refers to investing in companies that are not publicly traded, or in other words private companies.

- Do not need to disclose financial and performance information, and information about the company may be more difficult to find.
- Investors trading in the private market must typically be, at minimum, an "accredited investor".
- When buying or selling a private company, the time between executing a trade to settlement (receiving funds or securities) could extend up to months.

Accredited Investor



An accredited investor, in the context of a natural person, includes anyone who:

- earned income that exceeded \$200,000, or \$300,000 together with a spouse, in each of the prior two years, and reasonably expects the same for the current year,
- has a net worth over \$1 million, either alone or together with a spouse (excluding the value of your primary residence), or
- Individuals who have certain professional certifications, designations or credentials, or
- individuals who are “knowledgeable employees” of a private fund as defined in Rule 3c-5(a)(4) under the Investment Company Act.

Risks Inherent in the Private Market

- Investing in private company securities is not suitable for all investors.
- An investment in private company securities is highly speculative and involves a high degree of risk.
- It should only be considered as a long-term investment.
- You must be prepared to withstand a total loss of your investment.
- Private company securities are also highly illiquid and there is no guarantee that a market will develop for such securities.
- Securities law generally prohibits the resale of restricted securities without an available exemption which limits a holder’s ability to resale his or her private securities quickly. Such securities also may be subject to restrictions placed by the issuer in order to resale the securities.
- Each investment also carries its own specific risks and you should complete your own independent due diligence regarding the investment, including obtaining additional information about the company, opinions, financial projections and legal or other investment advice. Information about private companies including its financials can also be limited and not readily available, as distinguished from public companies.
- Accordingly, investing in private company securities is appropriate only for those sophisticated investors who can also tolerate a high degree of risk and do not require a liquid investment.

The Forge Securities Platform

- Registered ATS. As an SEC-registered ATS, FS-LLC is subject to additional reporting requirements, protocols and controls.
- Data and Analysis Tools. Learn about private companies by visiting their page on www.forgeglobal.com. View news, financings and cap table information and select valuation inputs to track their value over time.
- Private Securities Specialist. FS-LLC personnel are FINRA-licensed representatives who are experts trading private equity. They’re here to answer your questions and make sure your transactions are seamlessly executed.



- Minimum Investment Amount. FS's standard minimum transaction size is \$100,000USD; however, we may allow you to buy or sell an amount less than the minimum, e.g., when an issuer allows smaller trade amounts or to receive a partial execution of a larger order.
- Accredited Investor. Purchasers must, at minimum, be an accredited investor.
- Compensation to FS-LLC. You will pay us a fee every time you buy or sell a private company security. Typically, our commission is 5%. You may pay a higher commission if the total dollar amount of the transaction is less than our minimum transaction amount of \$100,000. The commission charged to you will be due upon settlement (closing) of your transaction. You may pay additional fees imposed by the issuer, such as legal opinions, transfer fees or escrow.
- Proof of Ownership. Sellers must provide proof of ownership in the private company.
- Anti-Money Laundering Review. U.S. federal law requires all financial institutions to obtain, verify, and record information that identifies each person or entity with whom we conduct securities transactions. In addition to asking you for your name and address and other identifying information, FS-LLC may also request other identifying information and documentation.

Typical Transaction Lifecycle

- Buyers and sellers indicate an interest in buying/selling shares.
- The buyer and seller agree on a price and a number of shares.
- FS-LLC assists the buyer and seller in completing terms sheets, executing commission and purchase agreements, and notices to the company. When purchasing interests in a Fund, FS-LLC assist the buyer by providing applicable offering documents, such as a Private Placement Memorandum, Subscription Agreement, and Operating Agreement.
- FS-LLC works with the company to ensure the transaction follows its preferred Right of First Refusal ("ROFR") or settlement process. The ROFR provides a company with the option to step in as buyer in a transaction.
- FS-LLC assists the buyer and seller in executing the company's stock transfer agreement, and legal opinion (if required by the company).
- Cap table changes made by company at the closing of a transaction.

Additional information may be found at <https://forgeglobal.com>, [Forge Disclaimers and Disclosures](#), [Form CRS](#), and [Forge FAQs](#).